PIP:INSIGHT

FOREX SCHOOL · COURSE 13 OF 15 · ADVANCED

News & Fundamentals Trading

Understanding how interest rates, inflation data and central bank policy drive currencies, and trading around high-impact economic releases with defined risk.

First Edition · 2026 · pip-insight.co.uk

News & Fundamentals Trading

The Complete Course

PIP:Insight Forex School — Course 13 of 15

First Edition — 2026

> *This book is educational content only, not financial advice. Every chart, number and scenario in these pages is an illustration of technique — none of it is a signal, a recommendation or a prediction. Trading foreign exchange involves a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose, and test everything here on a demo account before risking a penny.*

How to Use This Book

This is the thirteenth course in the PIP:Insight series, and it assumes you already know your way around a chart. Support and resistance, risk-per-trade, position sizing, the basics of structure — we covered all of that in earlier courses, and we're not going to re-teach it here. What this book adds is the other half of the picture: why price moves at all, and what to do when the economic calendar lights up red.

Read the chapters in order. The first two build the engine — what fundamentally drives a currency, and why interest rates sit at the centre of everything. Chapters 3 and 4 get practical: reading the calendar and understanding the specific releases that matter. Chapter 5 is the heart of the book, and if you only absorb one idea from these pages, make it that one: markets trade expectations, not headlines. Chapters 6 and 7 deal with the ugly mechanics of news volatility and the three broad ways traders approach it. Chapters 8 through 10 pull it all together into something you can actually run week after week.

A few ground rules. First, everything here is a framework, not a formula. When we say "suppose CPI prints hot and GBP/USD spikes 60 pips," that is a teaching illustration, not a claim about what will happen next Tuesday. Second, do your testing on demo. News trading is the fastest way in forex to discover exactly how wide a spread can get, and demo is the cheapest classroom for that lesson. Third — and we will say this more than once — if you are new to news trading, the correct position around a red-flag release is flat. No position at all. Watching NFP from the sidelines with a notebook is a legitimate and underrated strategy, and it costs nothing.

Keep a journal open as you read. Each chapter ends with a one-sentence summary; if you can rewrite that sentence in your own words and explain it to a mate in the pub, it's yours. If you can't, read the chapter again. That's the whole method.

Chapter 1 — What Actually Moves Currencies: The Fundamental Drivers

Ask ten retail traders what moves EUR/USD and you'll get ten answers about trendlines, Fibonacci levels and mysterious "smart money." All of it describes *how* price moves. None of it explains *why*. This chapter is about the why, because once you understand the why, half the calendar stops being noise and starts being information.

Currencies Are Prices, and Prices Need Buyers

A currency pair is just a relative price: how many dollars one pound buys. For that price to move, someone has to want more pounds and fewer dollars, or the reverse, in size. So the real question is never "what does the chart say" — it's "who needs to buy this currency, and why?"

The big flows come from a handful of sources. Trade: exporters get paid in foreign currency and convert it home. Investment: pension funds, insurers and asset managers buying foreign bonds and shares need the foreign currency first. Speculation: hedge funds and banks positioning for expected moves. And the deepest driver of the lot — the hunt for yield. Money, in aggregate, flows towards currencies that pay more to hold and away from currencies that pay less. Everything else in this book hangs off that sentence.

That yield-seeking behaviour is why interest rates dominate. If UK rates are 5% and Japanese rates are 0.5%, holding pounds pays you and holding yen costs you, relatively speaking. Global capital notices. It always notices.

The Five Drivers Worth Knowing

You can reduce the fundamental picture for any major currency to five inputs.

Growth. A growing economy attracts investment, generates corporate profits and, crucially, gives the central bank room to keep rates higher. GDP, PMIs and retail sales all feed this.

Inflation. In the modern era, inflation is the single most-watched number in forex, not because traders care about the price of bread but because central banks are legally mandated to care. Hot inflation pressures a central bank to raise rates or hold them high; cooling inflation opens the door to cuts. CPI is a rate-expectations input wearing a shopping-basket costume.

Interest rates and rate expectations. The core driver. So central it gets its own chapter next.

Risk sentiment. When markets panic, capital runs to perceived safety — historically the dollar, yen and Swiss franc — and out of "risk" currencies like the Australian dollar. On a genuine risk-off day, this flow can flatten every other consideration. AUD/JPY doesn't care about Australian retail sales when equity markets are down 4%.

Politics and terms of trade. Elections, fiscal blowouts, commodity prices for the commodity currencies (oil for CAD, iron ore for AUD). Slower-burning, but they set the backdrop.

Here's the editorial opinion, and we'll stand behind it: for the major pairs, on the timescale of days to months, the first three drivers are really one driver — the market's evolving guess about what central banks do next. Growth and inflation matter *because* they change that guess. Learn to read every release through that lens and you're most of the way there.

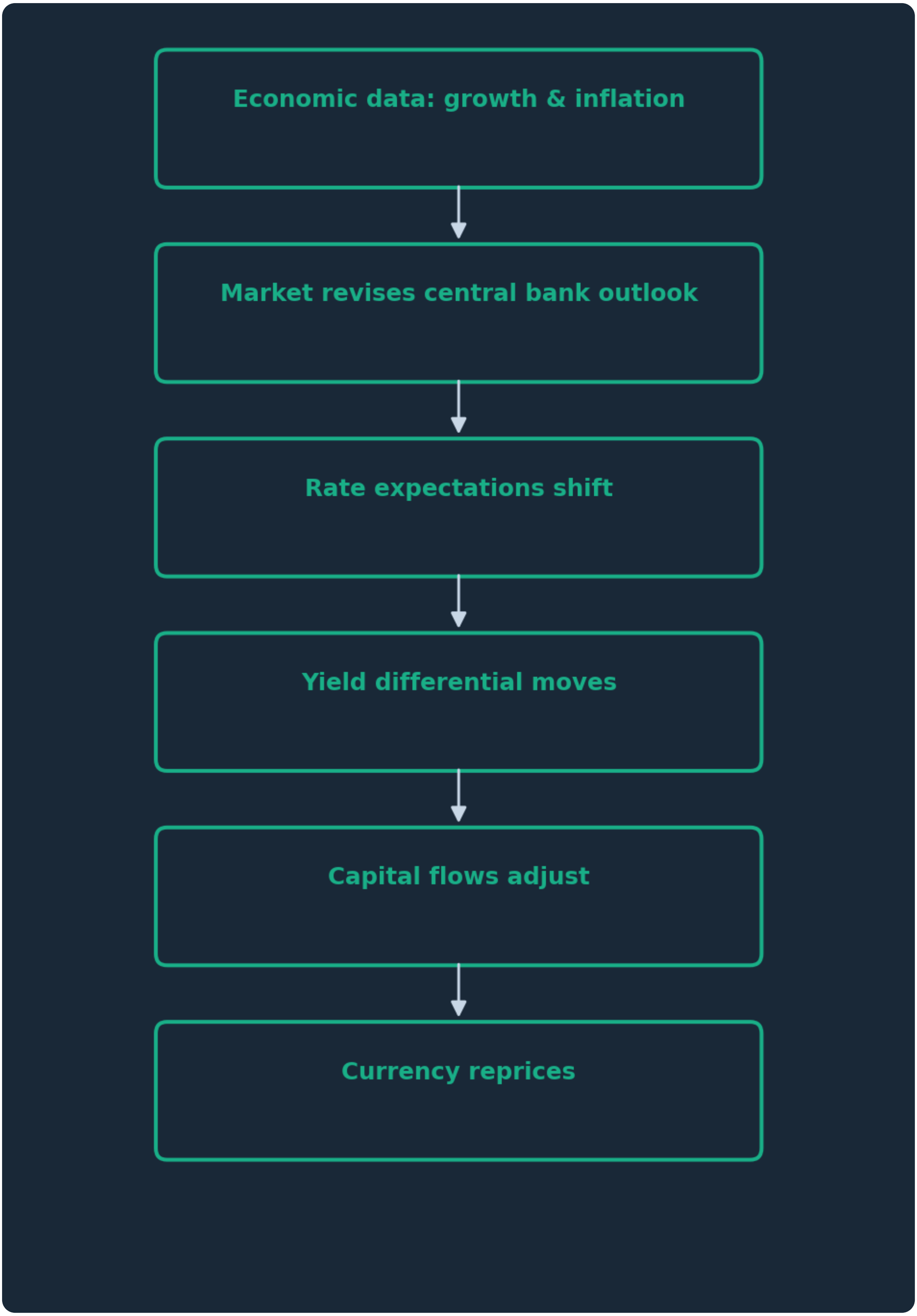

Figure. The transmission chain from a data release to a currency move. Data rarely moves price directly — it moves the market's view of future interest rates, and the currency reprices off that.

Timeframes: When Fundamentals Rule and When They Don't

Be honest about scale. In the next five minutes, fundamentals explain almost nothing — flows, stops and order-book mechanics rule. Over the next quarter, fundamentals explain almost everything — the great trends in forex history line up with rate-cycle divergence: the dollar's 2014–15 surge as the Fed prepared to hike while Europe eased, sterling's step-change after the 2016 referendum reset the UK's entire economic outlook, yen weakness through 2022–23 as the Bank of Japan held rates near zero while everyone else hiked hard.

The practical takeaway for a retail trader: fundamentals give you the *direction of lean* and the *events that matter*; technicals give you the *location and timing*. Neither is complete alone. A trader who ignores the calendar is playing poker without looking at half their cards. A trader who ignores the chart is right about the story and still gets stopped out at the worst possible price. This book teaches you to use both, and Chapter 8 marries them formally.

One psychological note before we move on. Fundamentals feel intellectual, and that's a trap. It is very easy to build a beautiful macro thesis, fall in love with it, and hold a losing position because "the fundamentals haven't changed." The market can stay irrational — or, more accurately, can stay focused on a different driver than yours — for far longer than your account can stay solvent. Fundamentals are a lens, not a licence to ignore your stop.

CHAPTER 1 IN ONE SENTENCE:

Currencies move on capital flows chasing yield and safety, which means the market's evolving guess about future interest rates is the master driver behind almost every major release.

Chapter 2 — Interest Rates and Central Banks: The Core Relationship

If Chapter 1 said interest rates are the engine, this chapter opens the bonnet. Central banks are the most powerful actors in the currency market, and they're also — helpfully — the most transparent. They publish their decisions, their forecasts, their meeting minutes and, increasingly, their doubts. Learning to read them is the closest thing fundamentals trading has to a cheat sheet.

Why Higher Rates (Usually) Mean a Stronger Currency

The mechanism is simple enough for the back of a beer mat. When a central bank raises rates, everything denominated in that currency pays more: government bonds, bank deposits, money-market funds. Global capital, forever hunting return, buys the currency to buy the yield. Demand up, currency up.

The refinement that separates professionals from tourists: the market doesn't trade the *current* rate. It trades the *expected path* of rates over the next one to two years. A currency with rates at 4% and falling can be weaker than one at 2% and rising, because forward-looking capital cares about where yield is going, not where it's been. This is why a central bank can cut rates and see its currency *rally* — if the market had priced in a bigger cut, the small cut is hawkish news. Hold that thought for Chapter 5; it's the same logic everywhere.

There's a wrinkle worth knowing: the carry trade. Traders borrow low-yielding currencies to buy high-yielding ones, harvesting the differential. It works beautifully in calm markets and unwinds violently in panics — which is why high-yielders can fall fastest precisely when fear spikes. Rate logic holds, until risk sentiment steamrolls it.

The Cast of Characters

Eight central banks matter for the majors. The **Federal Reserve** is the sun the others orbit — the dollar sits on one side of nearly 90% of all forex turnover, so Fed policy moves everything. The **European Central Bank** and **Bank of England** are next in weight for European traders; the BoE is your home fixture if you trade sterling. The **Bank of Japan** spent decades as the world's anchor of near-zero rates, making the yen the funding currency of choice — its every hint of change is a market event. The **Swiss National Bank** carries franc-safety duty and a history of springing surprises. The **Bank of Canada**, **Reserve Bank of Australia** and **Reserve Bank of New Zealand** round out the majors, each with a commodity flavour.

Each bank has a mandate — usually an inflation target around 2%, sometimes employment too (the Fed's dual mandate). The mandate is your decoder ring: every data release matters *in proportion to how it affects the mandate*. UK CPI matters enormously to the BoE. UK construction output, rather less.

Hawks, Doves and the Art of Reading Guidance

You'll hear "hawkish" and "dovish" endlessly, so let's define them properly. Hawkish means leaning towards higher rates or tighter policy — usually because inflation worries dominate. Dovish means leaning towards lower rates or looser policy — growth and employment worries dominate. A "hawkish hold" — keeping rates unchanged while signalling hikes remain possible — can move a currency more than an actual cut elsewhere.

Central banks talk constantly, and deliberately. Statements, minutes, press conferences, forecasts (the Fed's "dot plot" of members' own rate projections is the famous one), and a steady drip of individual speeches between meetings. This is forward guidance: managing market expectations so that decisions, when they come, are already priced in and cause minimal disruption. A well-telegraphed hike is a non-event. An unexpected one is a fireworks display.

For a worked illustration — and it is only that — suppose the Bank of England holds rates as universally expected, but the vote splits 5–4 with four members voting to cut, when the market expected 7–2. No policy changed. Yet sterling might drop half a percent in minutes, because the *path* just tilted dovish: cuts look closer than the market thought. The decision was priced; the vote split wasn't. That distinction — decision versus signal — is where most of the movement around central bank events actually lives.

Figure. A sustained uptrend with the 50-period average crossing above the 200. Multi-month currency trends like this frequently track a rate-expectations divergence — one central bank turning hawkish while its counterpart stays put — long after the initial announcement.

Divergence: Where the Big Trends Are Born

Since every pair has two currencies, what matters is *relative* policy. When two central banks move in opposite directions — one hiking while the other holds or cuts — you get policy divergence, and divergence is the raw material of trends that run for months. The cleanest historical examples all share this shape: the market progressively prices one bank tighter and the other easier, and the pair grinds in one direction with pullbacks that keep getting bought (or sold).

For the trader, the practical use is bias, not entries. If the rate-expectation gap between two currencies is clearly widening, that's a reason to prefer trading with that direction and to be suspicious of counter-trend setups — not a reason to buy blind at any price. You still need the chart. But knowing which way the monetary tide is flowing means you spend your risk swimming with it.

A closing word of humility: central banks change their minds, sometimes abruptly, because the data changes. Your job is not to predict them — it's to know what the market currently expects them to do, and to recognise when new information moves that expectation. That's a readable, checkable thing. Prophecy isn't.

CHAPTER 2 IN ONE SENTENCE:

Currencies follow the expected path of interest rates, so your real job is tracking what markets think central banks will do next — and spotting when data or guidance shifts that expectation.

Chapter 3 — Reading the Economic Calendar Like a Professional

The economic calendar is the single most valuable free tool in forex, and most retail traders use it like a horoscope — a quick glance, a vague sense of dread, and then they get stopped out at 1:30pm wondering what hit them. Professionals use it like an air traffic controller uses radar: they know exactly what's landing, when, and how big it is. This chapter builds that habit.

Anatomy of a Calendar Entry

Every decent calendar (several reputable free ones exist; pick one and stick with it so you learn its conventions) shows the same core fields. **Time** — check, then double-check, the timezone setting; more calendar accidents come from timezone confusion than any other cause, especially in the weeks when UK and US clocks change on different dates. **Currency** affected. **Impact rating** — usually a traffic-light system where red means expect real volatility. **Previous** — last period's figure. **Consensus/Forecast** — the average of surveyed economists' estimates. **Actual** — filled in at release.

The consensus number is the one beginners ignore and professionals obsess over. As Chapter 5 will hammer home, the market has already positioned for the consensus. The tradeable information at 1:30pm is not the actual number; it's the *gap* between actual and consensus. A calendar without forecast figures is a list of appointments. With them, it's a map of where surprises can occur.

Watch for revisions, too. Many releases restate the previous month's figure at the same time, and a big revision can matter as much as the headline. A jobs number that beats consensus but comes with the prior two months revised sharply down is a much murkier signal than the headline suggests — and price will often reflect that murkiness with a spike one way, then a reversal.

Triage: Red, Orange, and Ignorable

Not all releases deserve your attention, and treating them equally is a route to exhaustion. A workable triage for a retail trader:

Red-flag events — capable of moving a major pair 50–150+ pips in minutes: central bank rate decisions and press conferences, US CPI, US Non-Farm Payrolls, and for your specific pairs, that currency's CPI and jobs data. These get marked in your diary, and if you're not deliberately trading them, you're flat or well clear before they hit.

Orange events — capable of moving price meaningfully but rarely violently: PMIs, retail sales, GDP (usually well-telegraphed by the time it prints), consumer confidence, central bank speakers. Know they're coming; don't rearrange your life for them.

Background noise — the long tail of tertiary data. Housing starts in a country you don't trade. Ignore freely.

One professional touch: impact ratings are context-dependent, and calendars don't know context. In a cycle where the Fed has said it's "data dependent on inflation," US CPI is the event of the month and a routine speech by the Fed chair can outrank GDP. When a central bank is on hold with no live debate, the same releases go quiet. The question to ask of every event is: *does this change what a central bank might do?* If yes, upgrade it. If no, downgrade it, whatever colour the calendar paints it.

Figure. The 24-hour forex day with the New York morning highlighted. The heaviest scheduled releases for USD pairs — CPI, NFP, GDP — land at 8:30am New York time (1:30pm UK in summer), which is why that single half-hour shapes so many trading days.

The Rhythm of the Week and the Month

Scheduled data has a heartbeat, and learning it makes the calendar predictable rather than surprising. US Non-Farm Payrolls lands on the first Friday of the month, 8:30am New York time. US CPI arrives mid-month, same hour. Rate decisions run on published schedules — the Fed eight times a year on Wednesdays with a press conference, the Bank of England typically on Thursdays at noon UK time, the ECB on Thursdays with a press conference following. PMIs cluster at the start of the month; the flash estimates land a week or so before month-end.

Sessions matter as much as dates. UK and European data arrives in the London morning; US data dominates early New York; Asia-Pacific releases (Japanese data, Australian jobs, Chinese figures that swing AUD and NZD) land in what is the middle of the night for UK traders — which is itself useful information, because you can wake up to a gap-shaped surprise in AUD pairs and should check the overnight calendar before judging any chart.

The habit that ties this chapter together is simple and takes ten minutes: once a week, sit down with the calendar and extract the red-flag events for the currencies you actually trade, into your own diary, in your own timezone. Not a glance — a written list. Chapter 10 turns this into a full routine, but the core act is here. Traders who do this stop being ambushed. Traders who don't donate money to those who do, at half past one, most Fridays.

CHAPTER 3 IN ONE SENTENCE:

The calendar's real information is the consensus forecast and the event schedule — triage releases by whether they can change central bank expectations, and never let a red-flag event ambush you.

Chapter 4 — The Big Releases: NFP, CPI, GDP and Rate Decisions

Four families of releases cause the majority of scheduled violence in forex. This chapter takes each apart: what it measures, why the market cares, and how price typically behaves around it. "Typically" is doing honest work in that sentence — every release is capable of doing something it has never done before, which is precisely why Chapter 9 exists.

Non-Farm Payrolls: The First-Friday Circus

US Non-Farm Payrolls, first Friday of the month, 8:30am New York time, reports the net jobs added by the US economy excluding farm work. It's really three numbers in a trench coat: the headline jobs figure, the unemployment rate, and average hourly earnings — plus revisions to the prior two months. Markets care because employment feeds both halves of the Fed's mandate: jobs directly, and inflation via wages.

The trap is that the three numbers frequently disagree. Suppose — as an illustration only — the headline beats consensus by 80,000 jobs but wage growth comes in soft and the unemployment rate ticks up. Is that dollar-positive or dollar-negative? Genuinely unclear, and price will often say so: a spike up on the headline within the first seconds as algorithms react, then a fade and reversal over the following half hour as humans read the detail. This whipsaw — spike one way, travel the other — is so common around NFP that experienced traders treat the first five minutes as unreadable noise. The release is also famously volatile relative to its own consensus; misses of 100,000+ jobs happen routinely, which is why economists' forecasts deserve respect as positioning information but not reverence as predictions.

Figure. A stylised data release: quiet consolidation, then a violent spike with a huge-range candle at the timestamp, followed by choppy two-way trade. The first move is often algorithmic reaction to the headline; the 'real' direction frequently emerges only after the detail is digested.

CPI: The Number That Runs the Cycle

The Consumer Price Index measures the change in prices of a basket of goods and services — inflation, in a word. In any cycle where inflation is the live policy question (which, since 2021, has been most of the time), CPI is the heavyweight champion of scheduled releases, sometimes outranking NFP for market impact.

The mechanics: markets watch the headline rate, but often more closely the **core** rate, which strips out volatile food and energy to reveal the underlying trend central banks actually respond to. Hot CPI → market prices a more hawkish central bank → currency tends to strengthen. Cool CPI → cuts come forward → currency tends to weaken. Note "tends": the transmission runs through rate expectations, so if the market has *already* fully priced a hawkish path, even a hot print can fail to lift the currency — Chapter 5's territory. Watch the second decimal place, too. The difference between core CPI at 0.2% and 0.4% month-on-month sounds trivial in a supermarket and is enormous in a bond market.

UK CPI (7:00am UK time, mid-month) plays the same role for sterling and the Bank of England, and for a UK-based trader it's the one domestic release that should always be in your diary.

GDP and the Supporting Cast

Gross Domestic Product is the broadest scorecard — total economic output — and beginners are always surprised how little it moves markets. The reason is timeliness: by the time a quarterly GDP figure prints, the market has already seen three months of PMIs, retail sales, jobs data and inflation from the same period. GDP mostly confirms what's known. It matters when it *dis*confirms — a surprise contraction, a technical recession headline, a big revision — because those change the policy conversation. Treat GDP as orange-flag by default, red-flag when the economy sits at a turning point and the print could tip the narrative.

The supporting cast deserves a line each. PMIs (purchasing managers' indices) are timely, forward-looking surveys where 50 divides expansion from contraction — the flash estimates can genuinely move price. Retail sales gauge the consumer. Jobless claims give a weekly pulse on US employment. None demands NFP-level caution; all deserve calendar awareness.

Rate Decisions: The Main Event in Three Acts

A central bank decision day is not one event but three. **Act one, the decision** — hike, cut or hold, out at a fixed time. If it matches expectations (and thanks to forward guidance it usually does), the initial reaction can be strangely muted. **Act two, the statement and materials** — the written statement's changed wording, the vote split, updated forecasts, the Fed's dot plot. This is frequently where the real move starts, as analysts diff the text against last meeting's like editors comparing manuscripts. **Act three, the press conference**, typically thirty to forty-five minutes later — a live human answering questions, capable of reinforcing or completely reversing the day's move with a single unscripted sentence.

The practical consequence: volatility on decision days comes in waves, not one bang. A trader who survives the 7:00pm decision and relaxes can be blindsided at 7:30pm by the press conference. If you're keeping clear of a rate decision — the right call for most readers — keep clear of the *whole window*, from shortly before the decision until well after the presser ends. And remember the lesson from Chapter 2's illustration: unchanged rates plus a surprising vote split or a reworded statement is fully capable of producing a 60-pip candle. The market trades the signal, not just the decision.

CHAPTER 4 IN ONE SENTENCE:

NFP, CPI and rate decisions are multi-part events where the detail (wages, core inflation, vote splits, press conferences) routinely matters more than the headline — so respect the whole release window, not just the timestamp.

Chapter 5 — Expectations vs Reality: Why 'Good' Data Can Sell Off

This is the chapter that separates people who trade news from people who get traded by it. Read it twice. The single most common complaint from traders new to fundamentals goes like this: "The jobs number was great, so I bought the dollar, and it *fell*. The market is rigged." The market isn't rigged. The trader was answering the wrong question. The market never asks "was the data good?" It asks "was the data *better or worse than what we'd already priced in*?"

Priced In: The Most Important Concept in This Book

Markets are forecasting machines. Thousands of professionals — banks, funds, economists — spend every day estimating what the next release will show, and positioning *before* it lands. By the time a number is published, the market's collective best guess is already embedded in the price. That's what "priced in" means: the expected future is in the present price.

The consequence is beautifully counterintuitive. **Expected news moves nothing, because it already moved the price when it became expected.** If consensus says the economy added 200k jobs and it added 200k, there is no new information at 8:30 — the market learned that weeks ago, one survey and one data point at a time, and priced it. The release merely confirms it. Price shrugs.

What moves price is *surprise*: the gap between actual and expected. A formula worth tattooing somewhere visible:

Market reaction ≈ (Actual − Expected), not (Actual − Zero).

So a "good" number can be a bearish event. Suppose — illustration, as ever — consensus expects US CPI at 3.4% year-on-year and it prints at 3.1%. In absolute terms inflation is still miles above target; a newspaper would call it bad news. But relative to expectations it's a downside surprise, the market drags forward its expected rate cuts, and the dollar can fall hard. Same number, opposite reaction to the naive read. The newspaper reports reality. The market trades the *change in expected* reality.

Positioning: The Crowd Can Be Pre-Loaded

There's a second layer, and it explains the moves that even the surprise-formula can't. Expectation isn't just the consensus forecast — it's how traders are *positioned*. If a bullish outcome is widely anticipated, the buying largely happens before the release. When the good number duly arrives, who's left to buy? Everyone who wanted in is in. The only fresh flow available is profit-taking — selling. Hence the old market proverb, wearied by a century of truth: **buy the rumour, sell the fact.**

This is why you'll occasionally see data beat consensus and the currency *still* fall. The "whisper number" — the market's true, positioned-for expectation — had drifted above the published consensus. A beat versus the survey was a miss versus the whisper. You can sometimes read this in price behaviour itself: if a currency has rallied hard for days *into* a release on anticipation, the bar for the data to extend the move is far higher than consensus implies, and a merely in-line result can trigger a slide as pre-positioned longs cash out. The pre-release trend is a rough gauge of what's really priced.

Figure. A stylised 'good news, price falls' event: a grinding rally into the release as the outcome gets priced in, then a sharp drop when the number merely meets expectations and positioned buyers take profit. The data was fine; the surprise was zero; the fresh flow was sellers.

Reading Reactions Like a Professional

Once you internalise expectations, the *reaction* to news becomes information in its own right — often better information than the news itself.

Data beats, price rallies and holds: the surprise was real and positioning had room. Cleanest case.

Data beats, price rallies, then fully reverses within the hour: the market sold the strength. Either positioning was saturated or the detail undercut the headline. Many experienced traders treat a *failed* news move as one of the most telling signals a release can produce — the market was shown a reason to go one way and chose the other. That's a statement about underlying supply and demand, and Chapter 7's fade approaches are built on it.

Data misses, price barely falls: downside was priced, sellers exhausted. Quiet resilience after bad news is worth noting in your journal.

A worked illustration to bind it together. Suppose UK CPI is due, consensus 2.8%, and it prints at 3.2% — a genuine hawkish surprise. GBP/USD spikes 60 pips in two minutes. So far, textbook. But within the hour the entire spike has been sold and price sits below the pre-release level. What happened? Perhaps the detail showed the beat was all volatile components; perhaps the market judged the Bank of England would look through it; perhaps sterling longs were simply crowded and used the pop as an exit. You don't need to know which. The *behaviour* — hawkish surprise, bearish response — told you the path of least resistance, and it wasn't up. Logging these reaction patterns, release after release, teaches you more about a currency's true state than any forecast.

The Psychology of Being Wrongly Right

The expectations game is mentally brutal in a specific way: it lets you be *analytically correct and financially punished*. You predicted the data right, the market went the other way, and every instinct screams injustice. This is where traders tilt — doubling down because "the market must come round to the fundamentals."

Reframe it. Your edge was never predicting the number; whole banks with economics departments struggle at that. Your edge is understanding the *game*: knowing what's expected, recognising surprise, and reading the reaction honestly. When the reaction contradicts the headline, the reaction is the truth — it's actual money moving, while the headline is just an input. The market is not asking whether you were right about the data. It's asking whether you can update faster than your ego objects. Traders who learn to say "my read was wrong, the tape says so, I'm out" survive news cycles. Traders who argue with the tape fund them.

CHAPTER 5 IN ONE SENTENCE:

Markets move on the gap between results and expectations, not on whether news is "good" — so a priced-in beat can fall, a well-flagged miss can rally, and the honest reading of the reaction beats any forecast.

Chapter 6 — Volatility Around News: Spreads, Slippage and Gaps

Everything you think you know about trade execution is true only in calm markets. Around a red-flag release, the market's plumbing changes — spreads balloon, fills go missing, stops trigger at prices you never imagined. This chapter is about those mechanics, because news trading losses are as often about *execution* as about direction. Plenty of traders have called a move correctly and still lost money on it. Here's how that happens, and how to stop it happening to you.

Where Prices Actually Come From

Your broker's price isn't conjured from air — it's assembled from quotes provided by liquidity providers, mostly large banks. In normal conditions those providers compete to quote tight prices in size, and you get EUR/USD with a spread of a pip or less.

Seconds before a major release, those providers face a nasty problem: they may be about to buy or sell at a price that's wrong by 50 pips within a heartbeat. Their rational response is to protect themselves — quote wider, quote smaller, or briefly stop quoting altogether. Liquidity *evaporates precisely when volatility peaks*. That inversion — maximum movement meeting minimum liquidity — is the root of every execution pathology in this chapter. It isn't your broker being villainous (usually); it's the entire market simultaneously refusing to catch a falling knife at a fixed price.

Spreads and Slippage: The Invisible Tax

Spread widening is the most visible symptom. A pair that trades at a 1-pip spread all afternoon can, in the seconds around a release, quote 5, 10, even 20+ pips between bid and ask. Consequences cascade. Your trading cost multiplies. Worse, your *stops* interact with the widened quote: a long position's stop-loss triggers on the bid, so if the spread gaps wide, the bid can touch your stop even though the "mid" price never came close. Traders regularly report being stopped out around news with price seemingly nowhere near their level — the spread reached down and tapped it. If you must hold a position through a release (Chapter 9 will question whether you should), your stop needs room not just for price movement but for spread behaviour.

Slippage is the gap between the price you asked for and the price you got. Around news, price doesn't glide through levels — it jumps them. If a release prints and the market instantly reprices 40 pips higher, your buy-stop at 10 pips up doesn't fill at 10 pips up; there may have been no trades at that price at all. It fills at the next available quote, which might be 25 pips beyond your intended entry. The same applies to stop-losses: a stop is an instruction to exit *at the next available price*, not a guarantee of exiting at your chosen one. In a fast market, "next available" can be a long way away. Limit orders cap your fill price but may simply not fill; stop orders guarantee execution but not price. Around news, you can pick which risk to hold, but not neither.

Figure. A stylised sweep through a cluster of stops beneath an obvious level: price plunges through, triggers the resting orders at progressively worse prices, then snaps back. Around news, widened spreads and vanished liquidity make these wicks deeper and the fills inside them uglier.

Gaps, Whipsaws and the Weekend Problem

When repricing is instant, charts show **gaps** — empty space between one traded price and the next. Intraday news gaps are common on big surprises. The scheduled version is the **weekend gap**: forex closes Friday night and reopens Sunday evening (UK time), and anything that happens in between — elections, geopolitical shocks, surprise announcements — gets compressed into the opening print. A position held over a weekend can reopen far beyond its stop, and the stop then fills at the open, not at your level. This is why holding positions through weekends with major scheduled events (an election, a referendum) is a decision to take deliberately and sized accordingly, never by default.

Then there's the **whipsaw**, the signature move of news releases: a violent spike one way, immediately and fully reversed. First the algorithmic reaction to the headline, then repositioning as the detail lands — Chapter 4's NFP anatomy in action. The execution consequence is grim for breakout-style orders: a spike up can fill your buy-stop with slippage at the top of the move, seconds before the reversal carries price back through your (also slipped) stop-loss. Both orders executed "correctly." You lost more than your planned risk in under a minute. Nothing malfunctioned except the plan.

What This Means in Practice

Draw the practical conclusions plainly. First, **measure your broker's news behaviour before it matters**: watch (on demo, or flat) what spreads on your pairs do during an NFP or CPI. Brokers differ enormously; you want to know yours is a 6-pip widener or a 25-pip widener before real money is attached. Second, **assume worst-case execution in your planning**: if a trade only works with a tight stop and a perfect fill, it doesn't work around news. Third, **respect the whipsaw window**: the first minutes after a red-flag print are a coin-flip played with someone else's coin. And fourth — the theme this book will keep returning to — the cleanest solution to execution risk is not clever order engineering but *absence*. Flat traders don't slip. For beginners especially, the professional move around red-flag releases is to stand aside and study the tape; the market runs the same experiment every month, and watching costs nothing.

CHAPTER 6 IN ONE SENTENCE:

Around big releases liquidity vanishes exactly when volatility peaks, so spreads balloon, stops slip and whipsaws punish tight plans — budget for worst-case execution or, better, be flat.

Chapter 7 — Pre-News, Post-News and Fade Approaches

Given everything Chapter 6 just told you, how do traders actually engage with news? Broadly, three families of approach, defined by *when* they act relative to the release: before, after, or against the initial move. This chapter lays out all three as frameworks — with their logic, their failure modes, and an honest ranking. None of this is a system to copy; each is a structure to test, on demo, against your own temperament and data.

Trading Before: Positioning Into the Event

The pre-news approach takes a position *before* the release, betting on the outcome or on the drift into it. In its crudest form — "I think NFP will beat, so I'll buy dollars at 8:29" — it is gambling with extra steps: you're betting on a number professional forecasters routinely miss, *and* on the market's reaction to it, *and* accepting the worst execution conditions of the month. We'll be blunt: for retail traders, holding fresh positions into red-flag releases is the weakest of the three families and the one we'd steer beginners away from entirely.

The defensible version is subtler: the **anticipation drift**. Chapter 5 taught that markets price outcomes in advance — and pricing-in is itself a movement, often a steady multi-day trend into the event. A trader might ride that drift with normal technical entries and — this is the discipline — *exit before the release itself*, deliberately taking the tension of the event off the table. The related institutional wisdom applies to everyone: reduce or close ahead of the events you're not explicitly trading. The question "would I open this position right now, knowing CPI is in an hour?" is clarifying. If no, why are you holding it?

Trading After: Letting the Dust Settle

The post-news family waits for the release, lets the first violent minutes pass, and trades the *resulting* condition. Its logic is sound: after the print, uncertainty is resolved — you know the number, the surprise, and the initial reaction. Spreads normalise within minutes. What remains is a market digesting genuine new information, and big surprises often aren't fully absorbed in one candle; a hawkish shock can produce follow-through for hours or days as slower money adjusts. Some of the most durable moves in forex begin as a news reaction that simply never comes back.

A framework — illustration, not instruction: suppose CPI surprises hot and GBP/USD spikes 60 pips, clearing a resistance level that had capped price for a fortnight. The post-news trader does nothing for fifteen or thirty minutes. If price *holds* above the broken level and pulls back towards it with spreads back to normal, that retest offers a definable entry with a stop below the level — a standard break-and-retest, but with a known fundamental driver behind it, which is precisely the combination Chapter 8 formalises. If instead price slumps straight back below the level, the move failed, and the failure is information: no trade, or the opposite lean.

Figure. A break above resistance followed by a pullback that retests the broken level before continuing. After a genuine data surprise, this post-news retest pattern lets a trader join the repricing with normal spreads, a defined invalidation point, and the whipsaw window already behind them.

The costs are real but ordinary: you'll miss the first chunk of every move (tuition, not theft — you're paying pips for information), and some retests never come. But the whipsaw risk is gone, execution is normal, and the trade has a testable structure. For most retail traders, this family is the sensible default, and it's where we'd suggest you concentrate your demo testing.

Trading Against: The Fade

The third family is the boldest: the **fade** — trading against the initial spike, betting on reversal. Its logic comes straight from Chapters 5 and 6: initial reactions are frequently overdone. Algorithms react to headlines in milliseconds; thin liquidity exaggerates the move; stops get swept beyond obvious levels; then humans read the detail and price comes back. Anyone who has watched a dozen NFPs has seen the pattern.

The honest fade is *conditional*, not reflexive. Fading every spike is a strategy for collecting small wins until one trending release deletes them — because the fade's catastrophic failure mode is the genuine surprise that doesn't reverse, just keeps going while the fader adds to a loser. Conditions that make a fade worth considering as a framework to test: the spike ran into a major higher-timeframe level and stalled (location); the data's detail contradicts its headline, giving a *reason* to expect reversal; price visibly rejects — a long wick, a failure to hold new ground — rather than consolidating confidently at the extreme; and the stop goes beyond the spike high or low, sized to survive a second wick, with the position abandoned without argument if the level gives way.

Figure. A resistance zone respected on multiple touches. A news spike that drives straight into a level like this and stalls is the raw material of a fade: the release provided the surge, the level provides the location, and the rejection or its absence provides the verdict.

Even conditioned, fading is an advanced approach: it demands fast, calm decision-making in the worst execution conditions and a temperament that can be wrong quickly without flinching. Test it last, if at all.

Choosing Your Lane

A ranking, plainly stated as opinion earned by the preceding chapters: post-news approaches first — resolved uncertainty, normal spreads, definable structure; anticipation-drift second — ordinary technical trading with a fundamental tailwind and a hard rule to be out before the bang; naked pre-positioning and reflexive fading last — the former is a coin-flip at terrible odds of execution, the latter a pickpocketing career that ends the day the train doesn't stop. Whichever you test, test *one*, on demo, across at least a dozen releases, journalling every reaction pattern you see. The market schedules its experiments for you, every single month. Few laboratories are so obliging.

CHAPTER 7 IN ONE SENTENCE:

You can trade the drift before news, the digestion after it, or fade the overreaction — and for most traders the post-news approach, entered after the whipsaw with normal spreads and a defined invalidation, is the framework most worth testing first.

Chapter 8 — Combining Fundamentals With Technical Levels

Fundamentals and technicals are usually presented as rival religions — the economists versus the chartists, each certain the other is reading tea leaves. The professional answer is boringly practical: they answer different questions. Fundamentals tell you *why* and *which way*; technicals tell you *where* and *when*. A trader using only one is working with half an answer. This chapter is about the marriage.

Direction From the Story, Location From the Chart

Here is the division of labour in one framework. From your fundamental work (Chapters 1–5), derive a **directional bias** per currency: is the market's rate-expectation path for this central bank getting more hawkish, more dovish, or is it asleep? Cross two currencies and you get a bias for the pair — bullish, bearish, or no view. That bias tells you which trades you're *allowed* to look for. It does not tell you to click anything.

From your technical work (earlier courses), derive **locations**: the support and resistance zones, prior highs and lows, and structural levels where you'd be interested in acting. Those levels tell you *where* a trade could exist and — critically — where it's wrong. A fundamental view has no natural stop-loss; "the ECB is turning dovish" doesn't invalidate at any particular price. A level does. The chart supplies the risk definition the story can't.

The combination rule is then simple: **trade technical setups in the direction of the fundamental bias, at pre-identified levels, and skip setups that fight the bias.** Suppose — illustration — the market has spent a month pricing the Fed more hawkish while the BoE drifts dovish, and GBP/USD has been stair-stepping down. The combined trader isn't hunting longs off every minor support; they're waiting for rallies into marked resistance to look for shorts, with stops above the zone. The fundamentals chose the direction; the level chose the spot; the setup chose the moment. Three filters, each cheap, jointly selective.

Levels Around News: Location Decides the Reaction

Now put the two together *around releases*, which is where this book's marriage earns its keep. A data surprise supplies energy; the technical map determines what the energy does. The same hot CPI print behaves completely differently depending on where price is standing when it lands.

Surprise into open space — price mid-range, nothing nearby: expect a fast travel to the next meaningful level, which is where the move will be tested. **Surprise into a major level with it** — the spike breaks a well-tested resistance: this is the highest-value combination in the chapter, because a fundamental catalyst plus a structural break is how big moves start; the post-news retest framework from Chapter 7 applies directly. **Surprise into a major level against it** — the spike drives straight into strong higher-timeframe resistance: this is fade territory, and the level's survival or failure is the verdict. In all three cases the release was identical. The *location* wrote the script.

Figure. A demand zone marked from a prior sharp rally, later revisited. When a news-driven drop delivers price into a zone like this and the selling stalls, the fundamental catalyst and the technical location are telling one combined story — and the zone provides the stop the story lacks.

This is also why professionals mark their levels *before* release days, not during them. In the seconds after a print, there's no time to draw; there's only time to recognise. A pre-marked chart turns a chaotic spike into a multiple-choice question: it's heading towards *that* zone, or breaking *this* one, or rejecting there. Chapter 10 builds this marking into the weekly routine.

When the Two Disagree

The awkward cases teach the most. **Chart up, story down** — price grinding higher while your fundamental read says the currency should weaken: the market is either seeing something you're not, or positioning is doing the work. The tape gets the benefit of the doubt; your bias earns, at most, a place on the watchlist and a refusal to chase longs — not a licence to short a rising market because you're cleverer than it. **Story changed, chart hasn't yet** — a genuine shock (a surprise hike, a resignation, an inflation regime break) lands against the prevailing trend: old levels drawn under the old story deserve less trust, because the crowd that defended them was positioned for a world that just ended. After true regime changes, expect previously reliable zones to fail more often, and re-rank your levels accordingly.

And a note on **anchoring**, the psychological tax on technical traders during fundamental shifts: a level you've watched for weeks acquires emotional weight, and traders will fade a news-driven break at a "great level" simply because they'd mentally spent the bounce. The zone doesn't know you're fond of it. When fresh fundamental information arrives in size, the burden of proof moves *to* the level, not from it. Levels are hypotheses; catalysts are evidence; update accordingly.

The quiet payoff of combining the disciplines is confidence of a specific, non-delusional kind: when your fundamental lean, a marked level and a clean technical trigger all point the same way, you can size normally, place the stop where the level says, and accept the outcome — because three independent filters agreed, and that's all "edge" has ever meant. When they disagree, you stand aside, and standing aside with a reason is a skill most traders never acquire.

CHAPTER 8 IN ONE SENTENCE:

Let fundamentals set the directional bias and technical levels supply the location, timing and stop — and around news, pre-marked levels decide whether a surprise is a breakout to join, a wall to fade, or a journey to somewhere else.

Chapter 9 — Risk Rules for News Weeks

Everything so far has been about finding opportunity. This chapter is about the other job — the one that decides whether you're still here next year. News weeks concentrate risk in ways normal weeks don't: bigger candles, worse fills, correlated moves across every pair you trade. Your normal risk rules were calibrated for normal conditions. Around red-flag events, they need a supplementary set. Here it is, offered as a framework to adapt — with the reminder that the numbers are illustrative starting points for your own testing, not prescriptions.

Rule One: Know Your Exposure Before the Event Does

The foundational discipline is embarrassingly simple: **never be surprised by a release while holding a position.** Not "check the calendar sometimes" — a hard pre-trade step: before any entry, check what red-flag events hit this pair's currencies before your likely exit horizon. A day trader entering EUR/USD at noon with US CPI at 1:30pm isn't taking a technical trade; they're taking a CPI position with a technical costume on, whether they know it or not.

The same audit applies to *existing* positions as a weekly habit. Sunday's question (Chapter 10 makes it routine): which of my open trades lives through a red-flag event this week? For each, decide deliberately — hold at full size, reduce, tighten, or close before the event — rather than discovering your choice at 1:29pm with a racing heart. There's a correlation clause too: "one position through the event" means one *per currency*, not one per pair. Long EUR/USD, short USD/CHF and long GBP/USD into a Fed decision isn't three trades; it's one large short-dollar bet wearing three hats, and the release will grade it as one.

Rule Two: Size for the Conditions, Not the Calendar Average

Position sizing assumes your stop will be honoured. Chapter 6 explained why, around news, it may not be: slippage means a 1%-risk trade can lose 1.5% or worse through no fault of the plan. The professional adjustment is to size for *realised* conditions: if you hold anything through a red-flag release, cut the size so that even a badly slipped exit stays within your normal risk tolerance — half size is a common convention, and some traders go smaller for the biggest events. The arithmetic is sobering and worth doing once: if a release can plausibly gap 60 pips past a stop, a full-sized position with a 30-pip stop doesn't risk 1% — it risks 3%. Size to the gap scenario, not the stop distance.

Wider stops deserve a mention and a warning. Widening a stop to survive news volatility is legitimate *only* if size comes down proportionally so cash risk stays constant. Widening the stop and keeping the size is not adaptation; it's just risking more and calling it strategy.

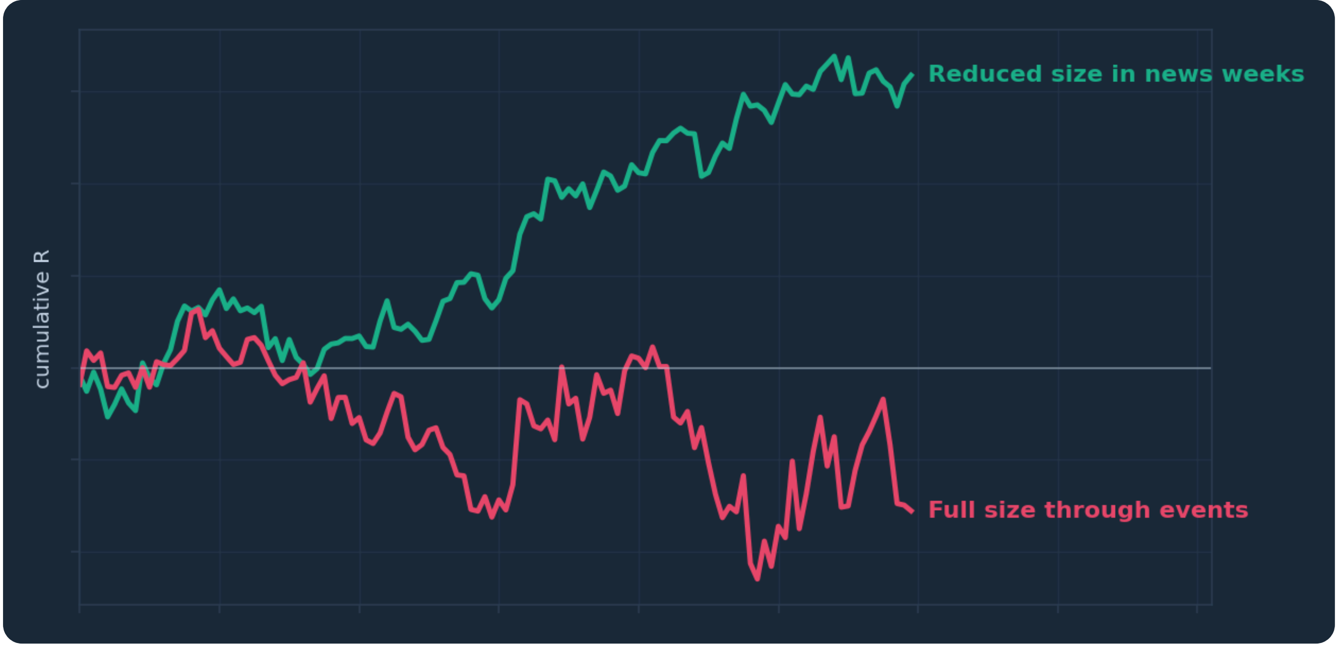

Figure. Two illustrative equity paths built on the same strategy: one reduces exposure around red-flag releases, the other holds full size throughout. The second doesn't necessarily earn more — it mostly earns deeper, sharper drawdowns whenever an event gaps past its stops. Illustration of principle, not a performance claim.

Rule Three: Daily and Weekly Circuit Breakers

News weeks are tilting weeks. A whipsaw loss feels *unjust* — you were right and got mugged by a spread — and injustice is rocket fuel for revenge trading. The defence is mechanical, agreed with yourself in advance, because in-the-moment judgement is precisely what tilt removes.

A daily loss limit — say, an illustrative 2–3% of the account — after which the platform closes and the day is over, no appeals. A per-event rule: one attempt per release; if your post-news trade stops out, the event is finished for you — re-entering thrice into a whipsaw is how a planned 1% becomes an unplanned 5%. And an event-week drawdown rule: if the week's losses hit your weekly limit before Thursday's rate decision, you don't "win it back" on the decision — you watch it. The purpose of circuit breakers isn't to limit losses on average weeks; it's to survive your worst week, which will almost certainly be a news week.

One more mechanical note: guaranteed-stop products exist at some brokers, exchanging a premium for gap protection. Whether the cost is worth it is a personal calculation — but knowing the option exists, and what your broker actually guarantees, belongs in your homework before the event, not your recriminations after it.

Rule Four: Beginners — Flat Means Flat

We've hinted throughout; here it is as a rule. **If you're new to news trading, be flat around red-flag releases. Completely.** Not small, not "just watching with a tiny position to make it interesting" — flat. Close positions before the window, don't open new ones until spreads normalise and the whipsaw has resolved, and spend the event watching with a journal instead: what was consensus, what printed, what did the spread do, what did the first candle do, did the move hold or reverse? Twelve releases observed this way will teach you more than this book can, at a tuition fee of exactly zero. The market runs the class monthly. There is no prize for attending before you're ready, and no penalty for auditing from the back row.

Sceptics will say this is timid. Fine. Timid traders get to become experienced traders; that's the whole trick. Every approach in Chapter 7 will still be there next month, and the month after. Missed opportunity is a renewable resource. Capital isn't.

CHAPTER 9 IN ONE SENTENCE:

News weeks demand supplementary risk rules — audit exposure before every event, size for slippage and correlation rather than the stop distance, enforce mechanical circuit breakers, and if you're new, be genuinely flat.

Chapter 10 — Building a Weekly Fundamental Prep Routine

Everything in this book is worthless as a mood and valuable as a routine. Knowing that expectations drive prices, that CPI matters, that spreads widen — none of it helps if it isn't systematically applied before the week begins. Professionals aren't smarter on Friday; they're prepared on Sunday. This final chapter assembles the whole course into a repeatable weekly process you can run in well under an hour, plus a daily top-up that takes five minutes. Adapt the details; keep the skeleton.

The Sunday Session: Forty-Five Minutes That Shape the Week

Set a fixed appointment — Sunday evening or first thing Monday, whichever your life allows — and run the same sequence every time. Routines survive motivation; that's their entire point.

Step one: sweep the calendar (10 minutes). Open your calendar, set to your timezone (check it — clock-change season catches everyone), and extract every red-flag event for the currencies you actually trade into your own diary: event, day, time, consensus figure. Writing the consensus down matters — it's the number the surprise will be measured against, and Chapter 5 lives or dies on it. Note orange events in passing. Ignore the rest.

Step two: state the macro question per currency (10 minutes). For each currency you trade, write one or two sentences: what is the market currently expecting from this central bank, and what could this week change it? Illustration: "Market expects the BoE on hold; Wednesday's CPI is the live risk — a hot print revives hike talk, a soft one brings cuts forward." You are not forecasting. You are naming the question the week will answer, so that when the answer arrives you recognise it.

Step three: derive the bias (5 minutes). From step two, tag each pair you follow: bullish lean, bearish lean, or no view — with "no view" being a fully respectable output that will save you from half a dozen mediocre trades. This is Chapter 8's directional filter, renewed weekly, in writing, where hindsight can't quietly edit it.

Step four: mark the map (15 minutes). On each pair's chart, mark the higher-timeframe levels that matter — the zones where a news move would meet an obstacle, the breaks that would mean something. Do it now, in the calm, because Chapter 8's lesson was that release-time is for recognising, never for drawing. Note where each level sits relative to this week's events: "resistance at the round number sits 40 pips above price, with CPI on Wednesday" is a sentence that pre-writes Wednesday's plan.

Step five: audit risk (5 minutes). Chapter 9's questions, on schedule: which open positions live through a red-flag event? What's the plan for each — hold, reduce, close? Any correlation stacking? What are this week's loss limits? Write the answers. A plan that exists only in your head is a mood with ambitions.

Figure. The weekly fundamental prep loop. Forty-five minutes on Sunday converts the entire course into a checklist; the Friday review closes the loop and turns each week's releases into next month's pattern library.

The Daily Five Minutes and the Event Protocol

Each trading morning, before any chart-gazing: today's events and times (has anything been added or revised?), any overnight surprises from the Asia-Pacific session that already moved your pairs, and a one-line restatement of today's plan — "CPI at 1:30, flat from 1:00, reassess 2:00 onwards." Five minutes. It's the difference between meeting the day and being met by it.

For the events themselves, run a written protocol built from Chapters 6, 7 and 9. Before: flat or deliberately reduced by your pre-set time; no fresh entries inside the buffer window. During: hands off, eyes on — record the print versus consensus, the spread behaviour, the first reaction. After: wait your pre-set cooling period, then ask the three questions this book has trained: was the surprise real (actual versus expected, headline versus detail)? Did the reaction confirm or contradict it (holding the move, or fading it)? And where did it leave price relative to your pre-marked levels? Only then does Chapter 7's playbook — join the retest, consider the conditional fade, or stand down — even open.

The Friday Review: Where the Edge Actually Compounds

The most skipped step is the most valuable. Fifteen minutes on Friday: for each release you logged, write what consensus said, what printed, and — the crucial column — how price *reacted* versus how the headline suggested it should. Over months, this log becomes your private pattern library: how your pairs actually behave around CPI beats, how often the first NFP move reverses, what your broker's spread really does at 1:30pm. That library is unpurchasable. It's also the antidote to the great psychological hazard of fundamentals trading — the seductive, untested macro narrative — because your own logged evidence outranks your own elegant story, every time.

A closing word for the course. News and fundamentals trading has a glamorous reputation — the trader who calls the Fed, the fortune made in a data spike. Forget it. The real edge this book offers is quieter: you'll know what's scheduled, what's expected and what's at stake; you'll be flat or sized-down when chaos is timetabled; you'll read reactions instead of headlines; and you'll let three filters agree before you risk a pound. That's not glamour. It's craft. Test every framework here on demo, keep the journal honestly, and let the market's monthly experiments — which run whether you participate or not — teach you at the pace your capital can afford.

CHAPTER 10 IN ONE SENTENCE:

Turn the whole course into a fixed weekly loop — Sunday calendar sweep, macro questions, biases, marked levels and risk audit; a five-minute daily brief; a written event protocol; and a Friday review that compounds into your own pattern library.

The One-Page Version

1. Currencies follow capital flows chasing yield and safety, so the market's evolving guess about future interest rates is the master driver — read every release through that lens.
2. Markets trade the *expected path* of rates, not the current level. Policy divergence between two central banks is where multi-month trends are born.
3. Use the calendar properly: extract red-flag events for your pairs into your own diary weekly, in your timezone, with consensus figures written down. Never be ambushed.
4. The big releases are multi-part events — NFP's wages and revisions, CPI's core rate, a decision's vote split and press conference. The detail routinely outweighs the headline, so respect the whole window.
5. Reaction ≈ actual minus *expected*, not actual minus zero. Priced-in good news can fall; well-flagged bad news can rally. When the reaction contradicts the headline, believe the reaction.
6. Around releases, liquidity vanishes as volatility peaks: spreads balloon, stops slip, whipsaws punish tight plans. Size for worst-case execution or be flat — flat traders don't slip.
7. Of the three approaches — pre-news positioning, post-news structure, fading spikes — test the post-news family first: uncertainty resolved, spreads normal, invalidation definable. Fade only conditionally; pre-position rarely, exit before the bang.
8. Fundamentals set the direction, technical levels supply location, timing and the stop the story lacks. Trade setups that agree with the bias at pre-marked levels; skip the rest, and stand aside without shame when the filters disagree.
9. News weeks need extra rules: audit event exposure before every entry, halve size through anything held over a release, count correlated pairs as one bet, and enforce mechanical daily and per-event loss limits. Beginners: flat means flat around red flags.
10. Run the loop — Sunday prep, daily five-minute brief, written event protocol, Friday reaction review. The journal of how price *actually* responded to news is an edge no one can sell you.

Test Yourself — 15 Questions

1. According to this course, the master driver behind most major currency moves on a weeks-to-months timescale is: A) Trendline breaks on the daily chart B) The market's evolving expectations of future central bank interest rates C) Retail trader positioning D) Seasonal patterns in commodity prices

2. A central bank cuts rates and its currency rallies. The most likely explanation is: A) The market is irrational B) Rate cuts always strengthen currencies C) The market had priced in a larger cut, so the small cut was a hawkish surprise D) The data was leaked early

3. "Hawkish" describes a central bank leaning towards: A) Lower rates to support employment B) Higher rates or tighter policy, usually on inflation concerns C) Currency intervention D) Leaving markets alone entirely

4. The single most important companion number to watch alongside any release's "actual" figure is: A) The previous year's figure B) The consensus forecast C) The release's timestamp D) The broker's spread

5. Why does GDP often move markets less than its "broadest measure of the economy" billing suggests? A) Governments suppress the reaction B) GDP is not relevant to central banks C) By publication, months of PMIs, jobs and inflation data have already told the story D) GDP is only released annually

6. US Non-Farm Payrolls is described as "three numbers in a trench coat" because markets react to: A) The headline jobs figure, the unemployment rate and average hourly earnings B) GDP, CPI and PMI C) Three different brokers' feeds D) The pre-market, market and post-market prints

7. Consensus expects CPI at 3.4% and it prints 3.1%. Inflation is still above target. The most likely immediate market reading is: A) Bullish for the currency, since inflation remains high B) A downside surprise that brings rate cuts forward — typically currency-negative C) No reaction, since the number is between 3% and 4% D) Bullish for the currency because lower inflation is always good news

8. "Buy the rumour, sell the fact" refers to: A) Trading on insider information B) Positioning happening before an anticipated event, leaving profit-taking as the dominant flow when it's confirmed C) Buying only after news is released D) A broker marketing slogan

9. A currency posts a genuinely hawkish data surprise, spikes up 60 pips, then fully reverses within the hour. The course suggests treating this as: A) Proof the data was wrong B) A reason to buy more, since the fundamentals improved C) Meaningful information that underlying supply/positioning favours the downside D) Random noise to ignore

10. Around a red-flag release, a long position's stop can trigger even though the mid price never reached it because: A) Brokers cancel stops during news B) Stops trigger on the bid, and a widened spread can drag the bid down to the stop level C) Charts stop updating D) Stops convert into limit orders

11. The key difference between stop orders and limit orders in fast news conditions is: A) Stops guarantee execution but not price; limits cap price but may not fill B) Limits guarantee both price and execution C) Stops are only for exits D) There is no practical difference

12. Of the three broad news-trading families, the course recommends most retail traders concentrate their initial testing on: A) Pre-positioning seconds before the release B) Fading every spike immediately C) Post-news approaches entered after the whipsaw, such as the break-and-retest D) Weekend gap trading

13. In the combined framework, the primary role of technical levels alongside a fundamental bias is to provide: A) The reason the currency should move B) Location, timing and a definable stop — the risk definition the fundamental story lacks C) A replacement for the calendar D) Confirmation of the consensus forecast

14. Being long EUR/USD, long GBP/USD and short USD/CHF into a Fed decision is best described as: A) Three independent, diversified trades B) A hedged position C) One concentrated short-dollar bet expressed three ways D) A risk-free arbitrage

15. The course's explicit recommendation for traders new to news trading during red-flag releases is: A) Trade half size B) Use wider stops at full size C) Be completely flat and observe with a journal D) Only trade the first spike

Answer Key

1. B — Growth and inflation data matter chiefly because they shift the market's expectations of central bank policy, the core driver of yield-seeking capital flows.

2. C — Markets price the expected path in advance; a smaller-than-expected cut is hawkish *relative to expectations*, which is what price responds to.

3. B — Hawks lean towards tighter policy on inflation concerns; doves lean towards looser policy on growth and employment concerns.

4. B — The consensus is what the market has positioned for, so the tradeable information is the gap between actual and consensus.

5. C — GDP is backward-looking; timelier releases from the same period are already priced, so GDP mainly matters when it disconfirms the known story.

6. A — Headline jobs, unemployment rate and wages (plus revisions) frequently disagree, which is why NFP reactions so often whipsaw.

7. B — Reaction runs off the surprise versus consensus, not the absolute level: a cooler print drags rate cuts forward, typically weakening the currency.

8. B — Anticipated outcomes are bought in advance; when confirmed, exhausted buying leaves profit-taking as the marginal flow.

9. C — A failed move on supportive news suggests saturated positioning or contradicting detail; the reaction is real money and outranks the headline.

10. B — Long stops execute off the bid; when spreads balloon, the bid alone can reach the stop even if mid price doesn't.

11. A — In gapping markets you choose which risk to hold: certain execution at an uncertain price, or a capped price with uncertain execution.

12. C — Post-news structures act after uncertainty resolves and spreads normalise, with definable invalidation — the best testing ground for most traders.

13. B — Fundamentals have no natural invalidation price; levels supply the where, the when and the stop.

14. C — All three positions share the same short-dollar exposure; a Fed surprise grades them as a single oversized bet.

15. C — Flat means flat: observe the release, log consensus, print, spread and reaction, and build experience at zero cost before risking capital.

Appendix — The Glossary, in Pub English

Every term used across the PIP:Insight school — explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Course 13 of 15 in the PIP:Insight Forex School. Everything below is free, forever:

- **The free video series** for this course — the PIP:Insight YouTube channel.
- **The Trading School** — 6 levels, 36 lessons, quizzes: pip-insight.co.uk/school.
- **The Trade Journal** — equity curve, discipline score, priced playbook: pip-insight.co.uk/journal. Your data never leaves your device.
- **The Daily Analysis** — every instrument mapped before London opens.
- **The Tape** — every call settled in public, losses included: pip-insight.co.uk/tape.

Thank you for buying the book — it funds the free machine above.
— The PIP:Insight desk